UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Ensuring the Timely and Orderly Interconnection of Large Loads	))))	**Docket No. RM26-4-000**

COMMENTS OF
ELECTRICITY CUSTOMER ALLIANCE

The Electricity Customer Alliance (ECA) respectfully submits these comments on the Advance Notice of Proposed Rulemaking (ANOPR) submitted to the Commission by the Secretary of Energy on October 23, 2025, and the Notice Inviting Comments issued by the Commission on October 27, 2025.[1]

ECA is a growing national coalition dedicated to advancing customer-centric solutions that modernize the grid, support economic growth and the development of digital infrastructure and advanced manufacturing, and keep electricity affordable and reliable for all users.[2] Members and participants in ECA include a diverse range of customers, from large customers in the technology, industrial, and manufacturing segments, to smaller commercial customers and residential ratepayer advocates. ECA works to elevate customer perspectives and align customer segments to identify and advance common ground approaches to the challenges of load growth, grid expansion and modernization, electricity market governance and accountability, and rising electricity affordability concerns.

[1] *Ensuring the Timely and Orderly Interconnection of Large Loads*, Notice Inviting Comments, Docket No. RM26-4-000 (October 27, 2025).
[2] For more information, visit www.electricitycustomers.com.

SUMMARY OF COMMENTS

ECA agrees with the Secretary that Commission action is necessary to address the challenges of rapidly accelerating growth in large electricity loads like data centers and onshoring and expanded manufacturing and industrial customers. Meeting the economic and national security imperatives of the Artificial Intelligence (AI) race and supporting growth in manufacturing and other critical sectors of the economy while ensuring that electricity remains affordable and reliable for all customers requires policy and regulatory action on three key pillars:

- Facilitating Flexible Near-Term Access to Power Supply: Emerging AI-driven large loads like data centers as well as expanded manufacturing and industrial large loads need expanded opportunities to quickly access power by supporting construction of generation to meet their needs ("bring your own power"), pursuing power purchase agreements or co-location arrangements, utilizing behind the meter generation or microgrids, or other flexible supply arrangements. Clearing the path for these "speed to power" arrangements also helps protect other customers from rising costs or cost shifts by allowing large load customers to pay for their own growth with private capital rather than ratepayer dollars.

- Planning for Long-Term Integration of Large Loads onto the Grid: Large load customers continue to value the long-term reliability, efficiency, and economies of scale of future interconnection to the broader power system, even as they pursue speed to power today. Effectively integrating large loads can also provide substantial benefits to all customers by spreading the fixed costs of the power system to the new large customers, leading to lower rates for existing customers. Capturing this opportunity requires, among other things, more holistic transmission planning to better account for these large loads and associated generation in development to serve them and identify the most economically efficient transmission expansion opportunities.

- Centering Customer Affordability by Enhancing Transparency and Market Governance: Throughout this period of rapid large load growth, customer affordability must be a primary objective. Improving the transparency of transmission rates, cost inputs, and investment decisions, and closing gaps in the review of transmission rates and investment decisions, are key to addressing rising affordability concerns. So too is greater rigor and transparency in the load forecasts driving investment decisions and wholesale energy and capacity market prices. Further, competitive markets play a key role in driving down electricity costs, but governance process reforms are needed to ensure that customers have a greater voice and more confidence in how those markets are administered.

Action by the Commission on the principles and framework suggested by the Secretary in the ANOPR would be a significant step forward in addressing these pillars. Today, there is significant uncertainty regarding the processes for new large load customers seeking to interconnect to the grid, develop new power generation resources to serve their needs, and obtain transmission service to deliver power supplies they have supported to their facilities. This uncertainty and the lack of clear pathways for new large load customers to "bring their own power", utilize behind the meter arrangements or microgrids, and ultimately obtain electricity service supported by the bulk transmission system is putting new pressure on tightening wholesale energy and capacity markets, driving rising resource adequacy risks, and revealing continued gaps in transmission planning processes.

Providing greater clarity in the process for large loads to interconnect to the transmission system would promote just and reasonable rates and open access through the facilitation of new flexible near-term power supply arrangements and configurations, like the hybrid facilities described in the ANOPR, and clarify pathways for new large loads to accelerate the development of generation to serve them (e.g., "bring your own power") or utilize behind the meter resources. In addition, implementing procedures for large load interconnection to the transmission system can help facilitate more holistic transmission planning by providing transmission providers with greater insight into the timing and location of large load growth, promoting long-term integration of large loads to the benefit of the system. Aligning load interconnection and generator interconnection and better incorporating large load growth into transmission planning are the two biggest benefits action on the ANOPR can provide.

ECA agrees with the Secretary's description in the ANOPR of the Commission's jurisdiction with respect to interconnection of large loads to the transmission system. Authority over the rates, terms, and conditions of interconnection to the transmission system fits comfortable within the grant of jurisdiction to the Commission in the Federal Power Act (FPA) over the rates, terms, and conditions of transmission of electricity in interstate commerce and wholesale sales of energy in interstate commerce.[3] To be sure, however, the exercise of that jurisdiction may have some impacts on retail rate matters subject to the jurisdiction of the states. ECA believes that the Commission must exercise its jurisdiction to addresses current uncertainties holding back solutions to the challenges of serving large load growth and ensuring reliability and affordability, and it can do so in a way that recognizes the need for safeguards to avoid reaching into retail rate regulation. In addition, to give all customers greater confidence that new large load interconnections are not shifting additional costs to other users, the Commission should require transmission providers to provide additional transparency of how costs incurred to interconnect to the FERC-jurisdictional transmission system will flow through to state retail tariffs.

ECA also notes that the entire electricity industry, including transmission providers, large load customers, state regulators, and consumer advocates, are still in the early stages of developing models and approaches to supplying and accommodating new large load growth while protecting customer affordability and system reliability. The Commission should be cognizant of this evolving landscape and not inadvertently disrupt states or regions that are experimenting with new approaches or successfully interconnecting new large loads quickly.

Given the need to recognize the impact its exercise of jurisdiction may have on states, the fluid nature of large load interconnection practices today, and the still early stage of the development of approaches to address large load growth, ECA strongly recommends that the Commission adopt a guidelines-based approach to establishing procedures for interconnection of large loads to the transmission system, in lieu of standardized *pro forma* procedures or agreements like those in place for generator interconnection. Under such an approach, transmission providers

[3] 16 U.S.C. § 824(b).

would be required to demonstrate that they have large load interconnection procedures and agreements in place that satisfy guidelines articulated by the Commission. This approach would allow the Commission to address the uncertainties holding back large load interconnection and the development of flexible power supply arrangements and new generation by large load customers, and ensure that customer affordability protections are in place, while also managing jurisdictional complexities, the varied approaches and configurations that large load customers are taking to secure power supply, and the fact that the industry and regulators are still learning through experience. This approach would also allow the Commission to act with the speed that the Secretary has rightly emphasized is necessary given the widely shared national interest in winning the AI race and capturing economic growth in onshoring and expanded manufacturing. Taking a guidelines-based approach today would not prevent the Commission from later determining, after experience, that *pro form* large load interconnection procedures and agreements are necessary.

The principles set forth by the Secretary in the ANOPR generally provide a reasonable starting point for the development of guidelines for large load interconnection procedures and agreements that the Commission could include in a Notice of Proposed Rulemaking (NOPR). ECA recommends below that many of these principles be turned into proposed guidelines for comment and recommends adding an additional guideline focused on ensuring that large load interconnection procedures produce timely results. The details of how the principles are turned into guidelines, and how those guidelines are implemented by transmission providers on compliance, will be crucial to success. ECA looks forward to continued engagement with the Commission, state regulators, and industry as those details are further developed.

COMMENTS

I. Commission Action is Needed Now to Facilitate Speed to Power for Large Load Customers, Resolve Lingering Questions Holding Back Progress, and Protect Existing Customers.

ECA agrees with the Secretary that current demand growth projections from new large commercial and industrial loads requires Commission action under its existing authority over transmission of electric energy in interstate commerce and the sale of electricity at wholesale in interstate commerce to improve and clarify the procedures that apply to large load interconnections to the transmission system. Commission leadership on these issues is required to meet these rising demands and to address rising affordability challenges for all customers.

Rapid access to power for data center and AI-driven loads, onshoring and expanding manufacturing, and industrial loads, is a national security and economic development imperative.[4] Finding access to sites with power and opportunities to quickly develop new power supplies and timely connect to the transmission system is paramount to winning the AI race and securing economic development opportunities presented by expanded and onshoring manufacturing and industrial facilities.[5] Recent surveys of the data center industry, for example, show that the primary obstacle to their expansion is long waits for power driven by utility capacity and transmission constraints.[6]

---

[4] *See, e.g.*, "Removing Barriers to American Leadership in Artificial Intelligence", Executive Order No. 14179 (Jan. 23, 2025); *see also* November 18, 2025 Letter to the Commission from Senator Mike Lee (R-UT) and Senator Martin Heinrich (D-NM), *available at* https://www.energy.senate.gov/services/files/897F8081-26B9-4215-B476-1A5AC6ABE15C.

[5] *See, e.g.,* U.S. Department of Energy, Grid Deployment Office, *Accelerating Speed to Power/Winning the Artificial Intelligence Race: Federal Action To Rapidly Expand Grid Capacity and Enable Electricity Demand Growth*, Request for Information (Sept. 18, 2025).

[6] AlphaStruxure *et al.*, "Before AI, After AI: Surveying the Data Center Industry as it Enters a New Age of Constrained Energy Supply" at 18 (April 25, 2025), *available at* https://alphastruxure.com/wp-content/uploads/2025/04/AlphaStruxure_Before_AI_After_AI_Energy_Crunch_Survey.pdf.

At the same time, leveraging opportunities for these quickly emerging large loads to utilize flexible arrangements to secure and pay for their own power supply—such as the hybrid (sometimes called "co-location") arrangements described by the Secretary in the ANOPR, "bring your own power" models, utilization of behind the meter generation and microgrids, and the like—is also essential to addressing threats to customer affordability and ensuring that private investors, not captive ratepayers, take on the costs and risks of rapid large load growth. Facilitating the ability of these new large customers to pay for their own growth via flexible arrangements in the short-term also serves to protect customers by increasing the capacity available to the entire system and avoiding the need to dedicate existing capacity to new loads, putting downward pressure on capacity prices and energy prices. In the longer-term, large load growth provides a key opportunity to spread the growing fixed costs of the power system over more users, providing further benefits to all customers.[7] Even as they pursue flexible power arrangements to meet their immediate power needs, large load customers report that they still plan to pursue grid interconnection when available to secure reliable and economic power supplies in the future.[8]

Currently, however, large load customers face uncertainty and a lack of clarity in many regions regarding the processes they must follow to seek interconnection to the transmission system and pursue flexible arrangements like hybrid facilities, bringing your own generation, or other flexible arrangements to meet their immediate power supply needs. New and existing large load customers seeking to interconnect to the transmission system have very limited or no avenues to obtain electric power supplies and not unduly discriminatory or preferential transmission service

---

[7] *See* Ryan Wiser *et al.*, "Factors Influencing Recent Trends in Retail Electricity Prices in the United States," *The Electricity Journal* Vol. 28, Issue 4 (Oct. 2025) (explaining how large loads can lower retail rates by spreading fixed costs over more units of service and showing that retail price increases have been lower in states with large loads); *see also* Severin Borenstein, "What Will Data Centers Do To Your Electric Bill?" Energy Institute Blog, UC Berkeley (Sept. 29, 2025), *available at* https://energyathaas.wordpress.com/2025/09/29/what-will-data-centers-do-to-your-electric-bill/.

[8] AlphaStruxure *et al.*, *supra* n. 6, at 24.

under existing transmission provider tariffs. In addition, regions like PJM Interconnection, L.L.C. (PJM) and Southwest Power Pool, Inc. (SPP) have faced challenges in addressing large load growth and defining pathways for large load customers to obtain service while protecting other customers from reliability and cost risks, owing in part to jurisdictional uncertainties and a lack of guidance from the Commission on key implementation issues.[9]

This uncertainty and lack of clarity creates an acute risk of unjust and unreasonable rates, terms, and conditions of transmission service by denying large load customers reasonable access to the transmission system to support their ability to access power. The lack of clear and defined pathways for new large loads to interconnect to the transmission grid, support the development of new power supplies to serve them, and deliver those power supplies to their facilities through existing and newly planned transmission is driving increased costs in FERC-jurisdictional wholesale markets as ballooning load forecasts associated with large loads that cannot be accommodated under current procedures drive high capacity and energy prices.[10] Those costs are ultimately borne by all customers. Moreover, states continue to take steps to adopt legislation and regulatory frameworks to support the ability of new large loads to quickly access power and to protect ratepayers from stranded cost risks and unjust and unreasonable cost shifts.[11] The lack of comparable opportunities for new large load customers to connect to the transmission grid, obtain

---

[9] *See generally* PJM Interconnection L.L.C., Critical Issue Fast Path Process on Large Load Additions; Southwest Power Pool, High-Impact Large Load Integration stakeholder process. SPP recently completed its process, but PJM has yet to move forward.

[10] PJM capacity prices have risen over 800% in the last three auctions, while wholesale power prices have risen about 8%, as demand increases while PJM lacks a clear plan to integrate new large loads and process to allow them to accelerate generation needed to serve them and provide flexibility to the grid when needed. *See, e.g.,* Ethan Howland, "PJM capacity prices set another record with 22% jump," UtilityDive (July 23, 2025), *available at* https://www.utilitydive.com/news/pjm-interconnection-capacity-auction-prices/753798/; Monitoring Analytics, LLC, "State of the Market Report for PJM: 2024" (March 13, 2025).

[11] *See* Rainey Center Policy Brief, "2025 State Grid and Permitting Legislative Landscape" (Oct. 2025), *available at* https://www.raineycenter.org/policy-brief/2025-state-grid-and-permitting-legislative-landscape; Smart Electric Power Alliance, "Database of Emerging Large-Load Tariffs (DELTa)", *available at* https://sepapower.org/large-load-tariffs-database/.

needed transmission service to deliver power supplies they have contracted to their facilities, and reflect their demand in Commission-jurisdictional markets and transmission planning processes, increases the risks of siloed planning processes at the wholesale and retail level and inefficient or insufficient transmission infrastructure expansion to meet future growth. This result not only creates risks of unjust and unreasonable rates but also hampers efforts to effectively integrate large loads in a manner that benefits all customers by spreading fixed costs over more users.

These risks to just and reasonable wholesale rates and the provision of open access and not unduly discriminatory or preferential transmission service, the continued challenges created by the rapid emergence of large loads, and the critical importance of many of these loads to economic growth and national security all support a Commission determination that large load interconnection to the transmission system is a key component of open access transmission service and that existing processes and agreements for large load interconnection (or the lack thereof) require reform. While ECA believes this situation requires a different approach (adoption of principles rather than *pro forma* tariffs), the current situation with respect to large load interconnection resembles that faced by the Commission with regard to generator interconnection prior to its adoption of standardized generation interconnection processes and agreements in Order No. 2003.[12] There, the Commission found that existing generator interconnection processes and the uncertainty in them were inadequate and ineffective to ensure just and reasonable rates.[13] Here too, the large load interconnection status quo is proving ineffective to ensure just and reasonable rates and prevent undue discrimination among customers in a time of rapid large load growth.

---

[12] *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 104 FERC ¶ 61,103, at P 1 (2003), *order on reh 'g*, Order No. 2003-A, 106 FERC ¶ 61,220 (2004), *order on reh 'g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh 'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom. Nat'l Ass 'n of Regul. Util. Comm'rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007).
[13] *Id.* at P 10.

II. The Commission Has Clear Jurisdiction over Large Load Interconnections to Jurisdictional Transmission Facilities, but Exercise of That Jurisdiction Should Recognize the Complexities of How State Regulation of Retail Sales May be Impacted.

The Secretary explains in the ANOPR that the FPA provides FERC with exclusive jurisdiction over the rates, terms, and conditions of transmission service in interstate commerce.[14] The Secretary posits that processes for interconnection of large loads directly to the transmission system fit squarely within this grant of jurisdiction. Importantly, the Secretary also explains that exercising jurisdiction over large load interconnections to the transmission system does not regulate any retail sale or distribution facility.[15]

ECA agrees with the basic thrust of the statement in the ANOPR of the Commission's jurisdiction over the rates, terms, and conditions of interconnection to the transmission grid. Interconnection of loads to the transmission grid fits comfortably within the Commission's authority over "the transmission of electric energy in interstate commerce and . . . the sale of electric energy at wholesale in interstate commerce" and "over all facilities for such transmission or sale of electric energy."[16] Moreover, given the impacts to just and reasonable wholesale capacity and energy rates that stem from a lack of clear large load interconnection procedures and agreements described in the previous section, we agree that these procedures and agreements are undoubtedly "practice(s) directly affecting Commission-jurisdictional wholesale electricity rates."[17]

ECA also agrees with the Secretary's recognition that the Commission's jurisdiction over such interconnections does not in and of itself regulate retail sales or distribution facilities, both of

---

[14] ANOPR at P 14.
[15] *Id.* at P 15.
[16] 16 U.S.C. § 824(b)(1); *see also Nat'l Ass 'n of Regul. Util. Comm'rs v. FERC*, 475 F.3d at 1780 (confirming FERC jurisdiction over transmission facilities in the analogous circumstances of generator interconnection).
[17] ANOPR at 14, *citing FERC v. Elec. Power Supply Ass 'n*, 136 S.Ct. 760, 764 (2016).

which are left to the states. State retail rate regulation will continue to govern sales to end users, including the extent to which large load customers may contract with third-party providers to obtain power supplies or pursue other kinds of self-supply arrangements to obtain retail power service. Nothing in the principles outlined in the ANOPR or its jurisdictional discussion would circumnavigate this reality of the FPA's division of regulatory jurisdiction between the Commission and the states.

As explained above, exercise of the Commission's jurisdiction to require improved and clarified procedures for large load interconnections to the transmission grid is a necessary step to resolve ongoing uncertainty that is preventing large loads from developing generation supplies, pursuing hybrid arrangements, or taking other steps to quickly access power and pay the costs required to support their growth, which in turn presents acute risks of unjust and unreasonable rates. Commission action here would, in fact, reduce or remove barriers that may impact new and emerging state laws providing large load customers with the ability to pursue more flexible arrangements by providing a clear pathway for these loads to obtain open access to transmission service needed to deliver power supplies they have developed to their facilities.

While the Commission has jurisdiction over large load interconnections to the transmission system, it is important to recognize that the exercise of that jurisdiction could have implications for the regulation of retail sales to end users that remains in the exclusive jurisdiction of the states. For example, the costs of large load interconnections to the transmission system will flow down into retail sales and tariffs regulated by the states. In addition, new large load interconnection procedures and agreements applicable to the transmission system could have implications for ongoing efforts by states to develop large load tariffs, promote flexible large load operations, or develop other policies to ensure that the costs of serving new large loads are not inappropriately shifted to other customers.[18]

These implications for state regulation of retail sales and tariffs do not prevent the Commission from acting to remedy the deficiencies described above regarding procedures and agreements for large load interconnection to the transmission system.[19] In fact, the Commission's jurisdictional responsibilities obligate it to do so. The impacts on state regulation do, however, counsel the Commission to exercise its jurisdiction here in a manner that recognizes the complexities of the interplay between federal regulation of transmission interconnections and state regulation of retail service and seek to ensure that matters of retail regulation completely remain with the states. In addition, the Commission should take steps to ensure that the costs incurred to interconnect large loads to the transmission system (and how they flow into retail rates) are transparent, so that states and other customers have adequate opportunity to review and contest those costs in the appropriate forum. In particular, the Commission should require transmission providers to demonstrate that any costs incurred to interconnect large loads to the transmission system, and how those costs flow into retail rates, will be transparent, and to identify the opportunities under prevailing regulatory structures that relevant state regulatory entities and other customers will have to review and contest those costs. These requirements are important to giving all customers greater confidence that interconnection of large loads to the transmission system will not create new cost risks for customers or roadblocks to the ability of customers to seek relief from imprudent or misallocated costs.

---

[18] *See* Resolution of the Board of Directors of the National Association of Regulatory Utility Commissioners, "Resolution Urging the Federal Energy Regulatory Commission to Preserve and Affirm State Retail Regulatory Jurisdiction in its Large Load Interconnection Proceeding" (Nov. 2025).

[19] *See FERC v. EPSA* (holding that "a FERC regulation does not run afoul of §824(b)'s proscription just because it affects—even substantially—the quantity or terms of retail sales. It is a fact of economic life that the wholesale and retail markets in electricity, as in every other known product, are not hermetically sealed from each other.").

A. The Commission has Several Tools it Can Use to Manage the Complexities of the Interplay Between Federal and State Regulation of Large Load Interconnections and Retail Service.

There are several tools available to the Commission to facilitate coordination with states to ensure that its exercise of jurisdiction over large load interconnections to the transmission system does not inadvertently impinge on retail matters, create complications for review of incurred costs and retail cost allocation decisions, or disrupt state efforts to protect customers against inappropriate cost shifts or stranded cost risks. For example, the Commission could solicit the views of state regulators when addressing filings in compliance with any Final Rule on large load interconnection procedures and agreements. It could also require transmission providers to confirm that they have coordinated with their Relevant Electric Retail Regulatory Authority (RERRA) to ensure that their procedures for interconnection of large loads to the transmission system do not address terms of retail service or interconnection to distribution systems, and that they provide sufficient transparency to allow the RERRA to fulfill its jurisdictional responsibilities. The Commission can also utilize the existing FERC-NARUC Collaborative to convene state regulators to discuss implementation issues or utilize Section 209 of the FPA to work with states to jointly investigate the relationship between large load interconnection procedures and agreements proposed by transmission providers and relevant state-jurisdictional rate structures and tariffs.[20]

ECA welcomes the opportunity to work with the Commission and the states to further develop these and other potential approaches to balance the exercise of FERC jurisdiction over

[20] *See* 16 U.S.C. § 824h. This section authorizes the Commission to "confer with any State commission regarding the relationship between rate structures, costs, accounts, charges, practices, classifications, and regulations of public utilities subject to the jurisdiction of such State commission and of the Commission" and to "hold joint hearings with any State commission in connection with any matter with respect to which the Commission is authorized to act." Joint hearings or conferences could be utilized to address the interplay between Commission regulation of large load interconnections to the transmission system and state retail rate structures and tariffs.

interconnections to the transmission system with state authority over retail sales and ratemaking as the Commission develops a more detailed proposal in response to the ANOPR.

III. To Meet the Need for Near-Term Large Load Interconnection Procedures to be Clarified and Improved on an Expedited Basis While Recognizing Jurisdictional and Technical Complexities, the Commission Should Consider Using a Guidelines-Based Approach Rather Than *Pro Forma* Procedures and Agreements.

DOE suggests in the ANOPR that it "has become necessary to standardize interconnection procedures and agreements" for large loads, "including those seeking to share a point of interconnection with a new or existing generating facilities (hybrid facilities)."[21] While ECA agrees with DOE that there is a need for near-term Commission action to clarify the procedures for the interconnection of new large loads to the transmission system, we do not agree that standardized *pro forma* procedures and agreements similar to those in place for generator interconnection are needed or appropriate at this time. Instead, ECA recommends that the Commission propose guidelines for large load interconnection procedures and agreements and, in its eventual Final Rule, require jurisdictional transmission providers to submit compliance filings consistent with those guidelines.

Attempting to implement uniform *pro forma* large load interconnection procedures and agreements across different types of new large loads and transmission providers with differing circumstances would be complex and jeopardize the timely and orderly interconnection of large loads. New large loads are not uniform in size or operating profiles, even among classes like data centers and advanced manufacturing, making it difficult to develop standardized procedures and agreements that would fit all circumstances. Moreover, the extent of large loads seeking interconnection to transmission facilities may vary significantly by region based on local economic development conditions and system configurations.

[21] ANOPR at P 12.

In addition, as noted above, implementing a uniform set of procedures and agreements nationwide could inadvertently disrupt evolving models and approaches to accommodating new large load growth while protecting customers that states and transmission providers are currently experimenting with. A standard approach would risk inadvertently disrupting states or regions that are experimenting with new approaches or already successfully interconnecting new large loads quickly.

Finally, as a practical matter, developing a full set of *pro forma* interconnection procedures and a *pro forma* agreement that can be applied nationwide will be exceedingly difficult if not impossible to accomplish by the April 30, 2026 date set by the Secretary for "final action." While a Final Rule in that time frame will be difficult in any event, developing *pro forma* rules would likely take years, and as discussed above, action is needed now to resolve uncertainties and barriers to the interconnection of large loads to the transmission grid.

A. How a Guidelines-Based Approach Would Work.

For these reasons, ECA recommends that the Commission instead use a guidelines-based approach. Under such an approach, the Commission would determine (as discussed above) that large load interconnection to the transmission system is a key component of open access transmission service, and direct jurisdictional transmission providers to demonstrate that they have large load interconnection procedures and agreements in place that meet a set of minimum guidelines. The Commission has previously used this type of approach in similar circumstances where the complexity of implementing a one size fits all approach, and the need to accommodate different regional circumstances, made a single *pro forma* compliance approach infeasible.[22]

[22] *See Long-Term Firm Transmission Rights in Organized Electricity Markets*, 116 FERC ¶ 61,077 at P 84 and P 100 (2006).

This guidelines-based approach would also provide a better platform for transmission providers and the Commission to work with states to address the jurisdictional and retail rate regulation issues discussed above. It would also allow transmission providers to demonstrate that their existing large load interconnection procedures and agreements are working well, meet the needs of the current moment of accelerating large load growth, and do not require additional reform. Finally, this approach would not prevent the Commission from determining in the future, after experience, that additional targeted action for a region or transmission provider is necessary or that *pro forma* procedures and a *pro forma* agreement are necessary to remedy continued unjust and unreasonable rates or undue discrimination.

IV. The Principles for Large Load and Hybrid Facility Interconnection Offered by the Secretary, With One Addition Focused on Timeliness, Provide a Reasonable Initial Set of Guidelines to Include in a Notice of Proposed Rulemaking.

The principles for large load and hybrid facility interconnection to the transmission system offered by the Secretary provide, for the most part, a helpful starting point for developing guidelines to include in a Notice of Proposed Rulemaking (NOPR) and further develop in a Final Rule. Below, ECA provides brief initial comments on the principles included in the ANOPR to help inform their development into guidelines. However, the details of how these principles are translated into guidelines, and ultimately into compliant large load interconnection processes and agreements, will be critical. ECA looks forward to further engaging with the Commission on those details.

<u>Additional guideline (*large load interconnection procedures should generally be completed within two years*):</u> In addition to guidelines based on the ANOPR principles, ECA suggests that the Commission propose and seek comment on an additional guideline requiring that transmission providers demonstrate that their large load interconnection procedures will result in

reasonable interconnection timelines. At bottom, ensuring that large load interconnection (and the interconnection of generation developed by those large load customers) proceeds more quickly and efficiently is the primary goal of this effort and necessary to meet the national security and economic development goals underlying the Secretary's letter to the Commission. The Commission's guidelines should reflect that. ECA suggests a guideline requiring that transmission providers have in place a large load interconnection process that, under normal circumstances, can be completed in two years, with an exception for large load customers that provide flexibility or take other steps to limit the need for infrastructure upgrades (which, consistent with the seventh principle in the ANOPR, should be significantly faster).

Principle 1 (*FERC should limit its jurisdiction to interconnection to the transmission system consistent with the Commission's seven-factor test*)[23]: ECA agrees with this principle. We note that the seven-factor test has long been used in the generator interconnection context to ensure that the Commission does not engage in regulation of distribution facilities or retail matters left to the states, and that precedent can directly inform the scope of the Commission's jurisdiction here.[24] ECA recommends that the Commission clarify that dual use facilities are also subject to its jurisdiction for purposes of load interconnection, similar to the treatment of generator interconnections.[25] Finally, the Commission should include in any guideline based on this principle a recognition of the potential impacts of its exercise of jurisdiction here over retail matters regulated by the states and, as discussed above, require transmission providers to demonstrate that the costs incurred to interconnect large loads to the transmission system and how they flow into

[23] ANOPR at P 18.

[24] The federal courts have repeatedly noted that the seven-factor test for determining jurisdictional transmission facilities is "well-established" and "long-standing." *See, e.g.*, *Transmission Access Policy Study Group v. FERC*, 225 F.3d 667, 687-88 (D.C. Cir. 2000); *Green Development, LLC v. FERC,* D.C. Cir., No. 22-1108, July 28, 2023 (treating the test as long-established and settled).

[25] *See Nat'l Ass'n of Reg. Util. Commr. v. FERC*, *supra*; *Order No. 2003-A*, *supra.*

retail rates will be transparent. Transmission providers should also be required to work with their state regulators to ensure that their compliance large load interconnection procedures make clear the opportunities under prevailing regulatory structures that states and other customers will have to review and contest those costs.

Principle 2 (*Reforms should only apply to new large loads greater than 20 MW*)[26]: ECA believes that 20 MW is a reasonable starting place for defining the new loads that should be subject to new requirements to have large load interconnection procedures and agreements in place. While the Commission's jurisdiction over large load interconnections does not hinge on the size of the load in question, establishing some threshold may be a prudent measure to ease regulatory burdens.

Principle 3 (*Load and hybrid facilities should be studied together with generating facilities*)[27]: ECA strongly agrees with the need for study processes to more closely link new large loads with the new generation resources that they may wish to construct or contract. The Commission should adopt approaches that facilitate the ability of new large loads to bring their own generation, such as by accelerating that generation in the generation interconnection process, clearly accounting for both the loads and the generation in the regional transmission planning process, and making more transparent the speed and savings advantages a new large load could obtain by bringing their own generation or siting efficiently. Clarifying the path for large load customers to bring (and pay for) their own generation supply, and improving transmission planning processes to better account for both the load and generation side of the equation with respect to large load growth, are in ECA's view two of the largest steps forward the Commission can facilitate here. Clearly defining these paths also helps protect other customers from cost shifts and the market

[26] ANOPR at P 19.
[27] *Id.* at P 20.

impacts of tightening supply by allowing new large loads to pay for and accelerate the installation of associated generation supply.

Consistent with the goals of this principle, the Commission should also consider requiring that transmission providers provide sufficiently transparent information regarding available system capacity and the potential costs of interconnection in various locations to allow loads to make informed and efficient siting decisions, similar to the transparency requirements it recently adopted for generator interconnection in Order No. 2023.[28]

Principle 4 (*Load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties*)[29]: ECA agrees that study deposits, readiness requirements, and withdrawal penalties are critical components of the large load interconnection process. As the Secretary notes, these requirements and financial commitments are important to discipline load forecasts, avoid duplicative interconnection requests from the same large load customer for the same facility, and limit speculation by large load customers that drive inflated load forecasts. ECA recommends that the Commission further develop this principle to more broadly address load forecasting challenges and require the adoption of best practices. Linking large load interconnection processes with improved load forecasting practices is essential to ensuring that the wholesale energy and capacity markets and transmission planning processes subject to Commission oversight produce just and reasonable rates.[30] New large load

[28] *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054 at P 135 (requiring the posting of "heatmaps" to provide generator interconnection customers with information to inform siting decisions), *order on reh 'g*, 185 FERC ¶ 61,063 (2023), *order on reh 'g*, Order No. 2023-A, 186 FERC ¶ 61,199, *errata notice*, 188 FERC ¶ 61,134 (2024).
[29] ANOPR at P 21.
[30] *See* Letter from ECA and aligned customer groups submitted to the Commission on May 30, 2025, *available at* https://static1.squarespace.com/static/61cb4ad27eb866577fe066fe/t/683dad0998acf67ccdbb63e2/1748872457167/Joint+Customer+Letter+to+FERC+re+Load+Forecasting+5.30.25.pdf.

interconnection processes may also require additional harmonization with state processes to ensure against double counting of potential new large loads at both the transmission and distribution level.

With respect to standardization, however, consistent with the guidelines-based approach we suggest, ECA recommends that the Commission in the first instance allow transmission providers to determine the appropriate amounts and requirements consistent with the types and magnitude of large loads seeking to interconnect to their system. FERC can review those proposed amounts and requirements to ensure that they meet the objectives of disciplining load forecasts and ensure that only viable projects enter and remain in the large load interconnection process.

Principle 5 (*Hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested*)[31]: ECA agrees with the thrust of this principle, which is that new large load customers intending to use on-site or co-located generation to meet some of their needs (or even provide services back to the grid) should be studied based on their actual planned operations. The Commission has already recognized and implemented this requirement in for generator interconnection studies.[32] ECA emphasizes, however, the need to ensure that study requirements and parameters do not later inappropriately restrict the ability of large load customers with on-site resources to provide services back to the grid, individually or through aggregation. New large load customers are increasingly installing behind the meter generation and utilizing microgrids to meet their needs for speed to power today, and with many of those loads seeking to obtain full grid interconnection in the future, these resources can provide significant value to the markets and reliability by providing services back to the grid.[33] The Commission's implementation of large load interconnection procedures should account for this opportunity.

[31] ANOPR at P 22.
[32] Order No. 2023 at P 1509.
[33] *See* AlphaStruxure *et al.*, *supra* n. 6 (generally showing trend of data centers installing behind the meter resources).

Principle 6 (*Hybrid interconnections should be required to install system protection facilities to prevent unauthorized injections or withdrawals*)[34]: ECA does not object to this principle, but we do recommend that the Commission clarify who determines the specific system protection devices that are needed and who is obligated to install and maintain such equipment. In addition, system protection requirements and associated penalties for unauthorized injections or withdrawals should not be structured in a way that discourages large loads from responding to grid emergencies or tight grid conditions through injections or withdrawals directed by the system operator. We also note that the North American Electric Reliability Corporation (NERC) is undergoing a comprehensive long-term evaluation of the impacts of emerging large loads and the potential need for new reliability requirements to address such impacts. The Commission should ensure that any guidelines it develops here do not conflict with future NERC requirements.

Principle 7 (*Expedited study of large loads that agree to be curtailable and dispatchable*)[35]: ECA strongly agrees that large load customers that agree to be flexible or provide curtailment that reduces the need for extensive network upgrades should receive the benefit of faster interconnection timelines. We note, however, that in implementing this principle (and more broadly addressing large load flexibility), the Commission should avoid mandating specific kinds of flexibility and instead provide incentives (through both large load interconnection procedures and other market rules and practices) for flexibility that allows large loads to contribute to grid reliability and stability while accounting for their expected operating parameters. The Commission should also recognize that while many large loads can provide different kinds of flexibility, not all large loads can do so equally. These large loads nonetheless need the clarified and more certain large load interconnection procedures that will be developed in response to the ANOPR.

[34] ANOPR at P 23.
[35] *Id.* at P 24.

Principle 8 (*Load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned*)[36]: ECA supports measures that ensure that all customers pay for the costs they cause and for the benefits they receive. A guideline requiring load and hybrid facilities to pay for 100% of the network upgrades they are assigned is sensible on its face and consistent with how generators are treated. However, as the Secretary suggests, the Commission should consider a crediting mechanism to ensure that other customers who benefit from network upgrades built by load and hybrid facility interconnection customers share in the costs originally assigned to the large load customer. This aligns cost assignment with cost causation principles. More broadly, however, this principle underscores the need for the Commission to ensure that transmission planning processes are capturing new large loads (and any generation they are developing to meet their needs) and identifying economic transmission solutions that meet the needs of these loads while providing broader system benefits to all users.

Principle 9 (*Large load interconnection customers should have the same option to build as generator interconnection customers*)[37]: ECA strongly agrees with this principle and recommends that the Commission develop it as a proposed guideline. Given the scale of needed infrastructure investment needed to meet large load growth driven by AI, data centers, advanced manufacturing and growth in the industrial sector, the Commission should ensure that large load customers have the opportunity to fund and build needed upgrades to support their growth. This approach helps protect existing customers from inappropriate cost shifts by facilitating the ability for growing loads to pay for their own needs. Without this option, transmission providers may default to building their own costly local transmission projects, the costs of which are generally allocated to all customers (including existing residential ratepayers) in their zone.

---

[36] *Id.* at P 25.
[37] *Id.* at P 26.

Principle 10 (*Existing generating facilities seeking to serve new load at the same location must go through a reliability must run type study*)[38]: Use of existing generating resources in co-location arrangements as envisioned in this principle present difficult tradeoffs that the Commission should carefully consider. Co-location arrangements can be a valuable tool for large loads seeking to develop new power supplies or obtain enhanced reliability, and when structured appropriately, help protect existing customers from cost shifts or stranded cost risks by reducing the amount of delivery infrastructure that must be developed to serve large loads. However, co-location with existing generation comes with potential reliability and customer cost impacts for other customers, as taking that generation out of the market can tighten supply and raise prices. ECA suggests that any guideline to address co-location of large loads with existing generating facilities require further study of those arrangements to understand not just the potential reliability impacts through reliability must run type studies, but also the market and consumer impacts of such configurations.

Principle 11 (*Utilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights*)[39]: ECA does not oppose this principle, but notes that it is not clear that it is needed as a guideline for large load interconnection procedures given that transmission service entitlements are already governed by the withdrawal rights held by loads under transmission service agreements and tariffs.

Principle 12 (*Utilities serving large loads should be responsible for ancillary services based on peak demand, and co-located generating facilities should be fully compensated for provision of ancillary services*)[40]: ECA supports this principle, which is necessary to recognize the

[38] *Id.* at P 27.
[39] ANOPR at P 28.
[40] *Id.* at P 29.

investment a large load customer has made in co-located or onsite generation to serve its demand and lower its contribution to peak load and the fixed costs of the broader grid. Including this principle as a guideline would ensure that appropriate incentives are in place for large loads to configure their facilities and on-site generation resources in a manner that avoids contributions to peak load, which benefits other customers by avoiding the imposition of new fixed costs and spreading existing fixed costs over more users. We also strongly agree that co-located generation facilities should have opportunities to provide grid services and be compensated for them.

Principle 13 (*There must be a plan to implement these reforms*)[41]: As discussed above, ECA recommends that the Commission utilize a guidelines-based approach to implementing large load interconnection process and agreement reforms. With respect to the treatment of large load interconnections already under study, ECA recommends that the interconnection customer be given the option to proceed under existing rules or resubmit its request under the new procedures. This would ensure a complete remedy to the deficiencies in existing large load interconnection procedures and agreements driving the need for Commission action.

Principle 14 (*Utilities serving large loads must meet all applicable NERC reliability standards and OATT provisions*)[42]: ECA does not object to this principle, but we note that transmission providers serving large loads connected to the transmission system should already be subject to NERC standards and the requirements of the OATT. Moreover, as discussed above, NERC is currently examining the need for new reliability guidelines and standards to address the potential operational impacts of emerging large loads. The Commission should avoid adopting any guidelines in this rulemaking that could conflict or overlap with NERC's ongoing examination and any requirements or guidelines that NERC adopts.

---

[41] *Id.* at P 30.
[42] *Id.* at P 31.

CONCLUSION

ECA appreciates the opportunity to provide these comments and looks forward to working with the Commission to meet the urgent need for leadership on large load interconnection procedures and agreements while ensuring reliability and customer affordability.

Respectfully Submitted,

/s/ *Jeffery S. Dennis*

Jeff Dennis
Executive Director
Electricity Customer Alliance
1001 Pennsylvania Ave., NW
Washington, DC 20004
jeff@electricitycustomers.com

Dated: November 21, 2025